MS5612 field report

Lokesh Parihar BE22B008

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1 Executive Summary

This report enlists the learnings from the class field visit to Phoenix mall on last Wednesday. We went to stores such as Origem, Lifestyle, and Aptronix, and looked at various real options they were offering, albeit without directly mentioning that they're offering real options.

2 Origem

Origem offers jewellery products and they have a large board directly in front of the entrance explaining a bunch of buyback guarantees. An ordinary customer may see it as just another nice offer but we could immediately see it as a put option. The customer in this case, implicitly buys the premium for this put option also, along with the security (gold jewellery). And they may exercise this option after a fixed amount of time (either 3 years or 5 years). There was also a lifetime exchange option. That is another put option, but the details are unclear. Maybe they'd renew the same design and charge a fees, but the put option here guarantees that the customer will get the same design, even after say 20 years of purchase.

3 Lifestyle

Lifestyle hosts more than a dozen clothing brands, and almost all were offering some sale offers, be it *buy one get one free*, or *50% off on purchases over 10,000* , etc. These have the payoff similar to a call option but ultimately saturating, as the offers have other constraints written in very small fonts underneath. The payoff increases uptil a point but then it saturates, this can be modelled as a *long call + short call (at a higher strike).*

Similarly, there were offers on credit card payments wherein the gains were capped. We'd often see sales mentioning *10% off on paying by xyz credit card* followed by a asterick taking us down to read something so small that it's barely visible, saying, *savings only uptil 1600* or what have you. These offers can also be seen as compared with the payoff of *long call + short call (at a higher strike)*

4 Aptronix

We lastly went to Aptronix, which is a trusted partner of Apple. They were selling Apple laptops, phones, watches, and other products. They offer insurance against product damages. The insurance came with many options, i.e., for a year, for two years, among other options, and obviously the price of two year insurance was higher than that of one year, albeit less than twice.

The insurance can be modeled as a put option where in, if the value of the underlying goes down (for example, upon damage to the laptop), the holder has the right to claim a certain benefit.

5 Conclusion

We saw how to model various real world offers/buyback guaranties as options. Overall, it was a fun exercise.